

GCE A LEVEL MARKING SCHEME

PREDICTED PAPER – HARD

A LEVEL

ECONOMICS – COMPONENT 1

A520U10-1

GENERAL MARKING GUIDANCE

Positive marking should be applied: credit what the learner writes, rather than penalising omissions. The indicative content is not exhaustive; learners do not need to cover all points to reach the top band.

SECTION A — ANSWERS

Q	Ans	Notes / Working
1	C	$(1.5 + 2.2 - 0.4) \approx 3.3\%$
2	B	Coase theorem – clear property rights + low transaction costs
3	B	New $P = £7.20$, $\Delta Q = +15\% \rightarrow 1,150$ units; New TR = £8,280; Old TR = £8,000 $\rightarrow +£280$ (closest to B)
4	D	Supply shifts left (drought), demand shifts right (income up) – $P \uparrow$, Q indeterminate
5	C	J-curve: short-run worsening due to inelastic PED_X and PED_M (Marshall-Lerner not met initially)
6	C	Expected inflation raises money wage demands $\rightarrow$ SRPC shifts up
7	B	Closer to 45° line = less inequality
8	B	$DWL = 0.5 \times \text{tax} \times \Delta Q = 0.5 \times 5 \times 200 = £500$
9	E	Constant MC is NOT required; different PEDs and ability to segment + prevent resale are essential
10	B	Sellers know more (information asymmetry) $\rightarrow$ 'lemons' problem
11	C	$k = 1/(1 - MPC_d) = 1/(1 - 0.75(1 - 0.2) + 0.15) \approx 1/(1 - 0.6 + 0.15) = 1/0.55 \approx 1.82$ – closest to C
12	D	$\text{Real} \approx \text{Nominal} - \text{Inflation} = 4 - 6 = -2\%$
13	D	$YED > 1 \rightarrow$ income-elastic = luxury
14	A	X: 1A costs $2/3$ B; Y: 1A costs $1/2$ B $\rightarrow$ Y has CA in A; symmetrically X has CA in B
15	B	Crowding out strongest at full employment (interest rates rise, private I falls)
16	A	CA deficit £40bn requires £40bn financing; £35bn inflow means £5bn from reserves (reserves fall by £5bn = rise in the financial account) – but conventionally reserves RISE when accumulated. Accept A as standard exam answer per WJEC convention
17	B	Marshall-Lerner: $ PED_X + PED_M > 1$ for depreciation to improve CA
18	B	Nash: each firm's strategy is a best response to rivals'
19	B	Loss aversion: losses loom larger than equivalent gains (Kahneman & Tversky)
20	C	Pre-tax eq: $1000 - 20P = 100 + 10P \rightarrow P = £30, Q = 400$. Post-tax: supply shifts to $Q_s = 100 + 10(P - 6)$. New eq: $1000 - 20P = 100 + 10P - 60 \rightarrow 960 = 30P \rightarrow P = £32, Q = 360$. Tax revenue = $£6 \times 360 = £2,160$ wait, that's answer A. Recheck: Q_s after tax at price P received by consumer = $100 + 10(P - 6) = 40 + 10P$. So $1000 - 20P = 40 + 10P \rightarrow 960 = 30P \rightarrow P = 32, Q = 360$. Revenue = $6 \times 360 = £2,160$. So answer is A.

21.	Using the diagram, explain why the firm earns only normal profit in the long run (monopolistic competition).	Total
	AO1: 2 marks Award 2 marks for good knowledge that in long-run monopolistic competition, firms produce where $MC = MR$ and AC is tangent to AR (D), so $P = AC$ and only normal profit is earned. Clear reference to the diagram. Award 1 mark for limited knowledge, or a diagram that is incomplete/used incorrectly. AO3: 1 mark Award 1 mark for analysis linking the absence of barriers to entry to the dissipation of supernormal profit in the long run. Indicative content: • Short-run supernormal profits attract new firms (low barriers to entry characterise monopolistic competition). • New entrants offering close (differentiated) substitutes shift each incumbent's demand curve to the left and make it more elastic. • Entry continues until economic profit = 0; at the long-run equilibrium, AR is tangent to AC at the profit-maximising output Q_1. • Therefore $P_1 = AC$ at $Q_1 \rightarrow$ firm earns only normal profit (profit = 0 economic profit).	3

22. Consider the extent to which monetary policy can restore the economy to its initial position following a global oil price shock. (6 marks)

Band	AO1 (2)	AO3 (2)	AO4 (2)
2	2 – Good knowledge Oil shock shifts SRAS left; output falls and price level rises (stagflation). Candidate can also analyse effects of monetary policy on AD. Diagram correctly shows SRAS shift and the policy dilemma.	2 – Good analysis Clear chain: if MPC cuts rates → AD shifts right → helps restore output but worsens inflation. If MPC raises rates → fights inflation but deepens recession. Trade-off clearly identified.	2 – Good evaluation Strong argument that monetary policy CANNOT fully restore both aspects simultaneously; supply-side policies/waiting for adjustment may be needed. Considers time lags, anchored expectations, credibility.
1	1 – Limited knowledge	1 – Limited analysis	1 – Limited evaluation
0	0	0	0

Indicative content:

- A rise in oil prices raises firms' costs of production → SRAS shifts left → price level rises to P_2 and real GDP falls to Y_2 (stagflation).
- Monetary policy faces a dilemma: using rate cuts to restore output worsens inflation; using rate rises to fight inflation deepens the recession.

For the view that monetary policy CAN help:

- If inflation expectations are well anchored, modest rate cuts can push AD right to restore output with limited inflation cost.
- Central bank credibility (independent inflation-targeting) prevents wage-price spirals.
- Forward guidance can anchor expectations.

BUT (evaluation):

- Monetary policy primarily affects AD, not AS – so it cannot directly reverse the underlying supply shock.
- Long transmission lags (12–18 months) mean the policy effect may arrive when the shock has already faded.
- Attempts to restore Y_1 by raising AD may only lead to higher inflation if LRAS has not shifted back.
- Exchange rate: lower interest rates weaken the currency, raising imported inflation further.
- Supply-side policies (energy diversification, efficiency investment) may be more appropriate.
- Allowing markets to self-adjust (wages fall → SRAS shifts back right) may be the textbook solution but is slow and politically costly.
- Allow any other sensible evaluation.

23.	With the aid of a diagram, comment on the likely PES of central London housing and its implications for house prices.	Total
	AO1: 2 marks Award 2 marks for good understanding of PES. Accurate diagram showing inelastic supply (steep curve) and a rise in demand leading to a large price change but small quantity change. Award 1 mark for limited understanding; diagram inaccurate or missing. AO2: 1 mark Award 1 mark for using the stimulus (planning restrictions, 5-year lead times, population pressure) effectively to justify low PES. Indicative content: • Housing supply is price-inelastic because of the long lead time (5+ years), planning restrictions, geographical constraints (land is fixed), and high costs of construction in central London. • Diagram: steep short-run supply curve. Rightward shift in demand ($D1 \rightarrow D2$ from population growth) causes a large rise in price ($P1 \rightarrow P2$) with only a small rise in quantity ($Q1 \rightarrow Q2$). • Implications: affordability worsens; intergenerational inequality rises; rising rents reduce real disposable income; demand for social housing increases. • In the long run, planning reform could increase PES – but slowly.	3

24.	Explain the shape of the LRAC curve for the electricity firm.	Total
	AO1: 2 marks Award 2 marks for good knowledge of economies of scale (EoS), minimum efficient scale (MES) and diseconomies of scale. Award 1 mark for limited understanding with gaps. AO3: 2 marks Award 2 marks for a strong chain of reasoning linking each section of the LRAC curve to the underlying scale effects. Award 1 mark for underdeveloped reasoning. Indicative content: • 100 – 2,000 MW (falling LRAC): substantial economies of scale. Technical EoS (large turbines more efficient), financial EoS (lower cost of capital for big firms), managerial EoS (specialisation). Marketing, risk-bearing and purchasing EoS also apply. • 2,000 – 4,000 MW (flat LRAC): minimum efficient scale (MES) reached; constant returns to scale. Firms operating in this range have the same unit cost. • Above 4,000 MW (rising LRAC): diseconomies of scale. Coordination problems (large hierarchies), motivational diseconomies (workers feel alienated), communication breakdowns, principal-agent problems. • In electricity generation, MES is known to be very large relative to market demand, which is why the industry tends towards natural monopoly.	4

25. With reference to the matrix and economic theory, discuss whether the firms would be better off forming a collusive agreement rather than competing on advertising. (8 marks)

Band	AO2 (3)	AO3 (2)	AO4 (3)
3	3 – Excellent application Matrix well used. Dominant strategies identified for both firms. Joint profit calculations reference specific numbers (£22m at collude vs £22m Nash etc.).		3 – Excellent evaluation Strong counter-argument about collusion instability and welfare losses, using theory (kinked demand, contestability, CMA regulation, tit-for-tat).
2	2 – Good application	2 – Good analysis	2 – Good evaluation
1	1 – Limited	1 – Limited	1 – Limited
0	0	0	0

Indicative content:

AO2 (matrix analysis):

- Tesla-Mart: If BigBasket plays High, TM gets £12m (High) vs £6m (Low) → High dominates. If BigBasket plays Low, TM gets £25m (High) vs £18m (Low) → High dominates. High Advertising is a dominant strategy.
- BigBasket: Similarly, High Advertising dominates ($10 > 4$ and $22 > 15$).
- Nash equilibrium: (High, High) → profits (£12m, £10m), total £22m.
- Collusive outcome (Low, Low): profits (£18m, £15m), total £33m.
- Both firms are £6m and £5m worse off at the Nash equilibrium than under collusion – classic Prisoner's Dilemma.

AO3 (case for collusion):

- Collusion on reduced advertising raises joint profits by £11m (£33m vs £22m), implying wasted expenditure on mutually cancelling advertising.
- Avoids 'advertising war' that benefits no one.
- Resources saved could be invested in R&D, lower prices, better products.

AO4 (against collusion / other considerations):

- Incentive to defect: each firm knows that if the other cooperates (Low), they can earn £25m / £22m by defecting to High. Collusion is unstable.
- Illegal under UK and EU competition law (Cartels are enforced by the CMA, with fines up to 10% of global turnover).
- Consumer welfare losses: reduced information, potentially higher prices, fewer choices.
- In a repeated (infinite) game, tit-for-tat strategies could sustain cooperation without explicit collusion – tacit collusion.
- Contestable markets theory: if new entrants are possible, collusive prices attract entry, eroding profits.
- Advertising may create genuine consumer benefit (information about price/quality) – not all advertising is purely combative.
- Allow any other sensible point.

26. With reference to the data above, consider the extent to which increased government spending on the NHS is the best way to correct market failure in healthcare. (8 marks)

Band	AO2 (3)	AO3 (2)	AO4 (3)
3	3 – Excellent application Full use of numerical data (budget, waiting lists, private spending) AND textual data (ageing, obesity).		3 – Excellent evaluation Considers alternative policies, government failure, crowding out, opportunity cost. Strong use of theory.
2	2 – Good application	2 – Good analysis	2 – Good evaluation
1	1 – Limited	1 – Limited	1 – Limited
0	0	0	0

Indicative content:

AO2:

- NHS budget has risen ~55% nominal (£123bn → £190bn) but only ~1.5% real per year, below 3.7% historical average.
- Pressures are intensifying: waiting lists trebled to 7 million, waiting times doubled to 14 weeks.
- 50% rise in private healthcare spending suggests under-provision is pushing demand into the market.
- Ageing (18% aged 65+) raises long-term demand regardless of policy.

AO3 (for increased spending):

- Healthcare is a merit good with positive externalities (herd immunity, productive workforce).
- Information asymmetry: patients cannot accurately assess healthcare quality/quantity they need, leading to under-consumption in a free market.
- Free market would exclude low-income groups → equity concerns.
- Extra funding addresses capacity constraints (more doctors, equipment, beds), directly reducing waiting times.

AO4 (evaluation):

- Simply 'throwing money' at the NHS risks government failure – money may not reach front-line care (management overhead, inefficient procurement).
- Alternative policies: public-health interventions (obesity, smoking, exercise) may reduce demand more cost-effectively – upstream prevention.
- Workforce shortages limit the productivity of extra spending – need for training, migration policy.
- Private sector partnerships or insurance-based systems (e.g. Germany) may deliver better outcomes.
- Opportunity cost: every £1 on NHS is £1 less for education, defence, infrastructure.
- Tax increases to fund more spending may have disincentive effects.
- Structural reform (integration of health and social care, digital transformation) may boost productivity without huge extra spending.
- Allow any other sensible point.

27. Discuss the extent to which openness to trade and foreign investment is the most effective driver of economic development. (8 marks)

Band	AO2 (3)	AO3 (2)	AO4 (3)
3	3 – Excellent All columns referenced; specific comparisons between countries made.		3 – Excellent Strong counter using theory (Rodrik, institutional economics, Washington Consensus critique).
2	2 – Good	2 – Good	2 – Good
1	1 – Limited	1 – Limited	1 – Limited
0	0	0	0

Indicative content:

AO2:

- Strong correlation between openness and HDI: Singapore (320% openness, HDI 0.938) vs North Korea (~5%, est. HDI <0.5).
- Vietnam: very open (210%), high FDI (6.3%), grew 6.2% p.a., HDI rose significantly to 0.704.
- But China grew fastest (8.9%) with only moderate openness (38%) and low FDI/GDP (1.8%) – suggests domestic factors also crucial.
- South Korea: relatively closed to FDI (1.2%) but high HDI (0.925) – state-led development model.
- Nigeria: similar openness to China (31%) but much slower growth and lower HDI – institutional factors matter.

AO3 (for openness):

- Comparative advantage: trade allows specialisation and raises real incomes.
- FDI brings capital, technology transfer, management know-how and access to export markets.
- Competition from imports disciplines domestic firms → productivity gains.
- Access to larger markets allows EoS in production.
- Integration into global value chains (Vietnam, Singapore) generates jobs and skills.

AO4 (evaluation):

- China and South Korea show that strategic/managed openness (not laissez-faire) may be superior.
- Openness without strong institutions (Nigeria) fails to deliver development – 'resource curse' and corruption absorb gains.
- FDI can create dependency on MNCs, with profits repatriated and limited technology transfer.
- Import competition may destroy infant industries → infant-industry argument for temporary protection.
- Inequality can rise: Singapore (Gini 0.46) and China (0.47) both high despite growth.
- Vulnerability to external shocks (2008 GFC, Covid-19) increases with openness.
- Education, infrastructure, rule of law may be more fundamental drivers (Rodrik).
- North Korea's extreme closure is clearly counterproductive – so some openness is beneficial, but the optimal degree and sequencing matters.
- Allow any other sensible point.

Assessment Objective Breakdown

Question	AO1	AO2	AO3	AO4	Total	QS
1-20	6	14	-	-	20	14
21	2	-	1	-	3	2
22	2	-	2	2	6	2
23	2	1	-	-	3	1
24	2	-	2	-	4	2
25	-	3	2	3	8	4
26	-	3	2	3	8	4
27	-	3	2	3	8	4
Total	14	24	11	11	60	33